STRATEGIC REPORT,

REPORT OF THE DIRECTORS AND

FINANCIAL STATEMENTS

FOR THE PERIOD

27 JANUARY 2021 TO 30 JUNE 2021

FOR

PHOENIX 2021 LIMITED

FRIDAY

ABØJ6SLC

A08 25/03/2022 #249

COMPANIES HOUSE

PHOENIX 2021 LIMITED

CONTENTS OF THE FINANCIAL STATEMENTS
FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

	Page
Company Information	1
Strategic Report	2
Report of the Directors	6
Report of the Independent Auditors	8
Statement of Comprehensive Income	11
Balance Sheet	12
Statement of Changes in Equity	13
Cash Flow Statement	14
Notes to the Cash Flow Statement	15
Notes to the Financial Statements	16

PHOENIX 2021 LIMITED

COMPANY INFORMATION
FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

Directors:	Mr T Mubarak Al Hammad Mr M Brannigan Mr R E Bramwell Mr O Gottmann Mr T Markham
Registered office:	DW Stadium Loire Drive Robin Park Wigan WN5 0UZ
Registered number:	13161421 (England and Wales)
Auditors:	NR Barton 1st Floor Waterside House Waterside Drive Wigan Lancashire WN3 5AZ
Bankers:	Barclays Bank Plc Victoria House Wigan Lancashire WN1 1QS

STRATEGIC REPORT
FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

The directors present their strategic report for the period 27 January 2021 to 30 June 2021.

Review of business

As of today, Wigan Athletic Football Club is well placed to see a return to the EFL Championship after an absence of two years, although the future of the Club, prior to its successful acquisition by Phoenix 2021 Limited, did not look so promising.

The financial year did not start well with Next Leader Fund L.P., the acquirers of Wigan Athletic AFC Limited and Wigan Football Company Limited from International Entertainment Corporation only four weeks previously, placing these companies into Administration on 1 July 2020.

Entering administration was branded a 'crisis within a crisis' and brought some real challenges to Wigan Athletic's near 90-year existence as it not only meant an immediate deduction of 12 points, in line with The EFL's regulations, but occurred in the midst of the COVID-19 pandemic, a national lockdown and the temporary suspension of the 2019/20 season, which had an immense economic impact on the Club and its supporters. Despite appealing the deduction due to the exceptional ownership circumstances, it found itself in, the decision was upheld and so the team went from a position of safety in the Championship to a fight for second tier survival with only six games remaining, all behind closed doors. Despite accumulating nine points in that period, relegation was confirmed following a 1-1 draw with Fulham on the final day of the season on 22 July 2020. Had the team not suffered the 12-point deduction, it would have recorded a 13th place in the Championship, which would have been the Club's highest finish in six years.

Being immediately aware of the need to generate revenue outside of gate receipts and hospitality, now greatly reduced in League 1 and decimated because of the games being played behind closed doors, the administrators Begbies Traynor looked to the assets of the Club to realise additional funding: the sale of the majority of the First Team squad as well as the brightest prospects from the Academy, including England youth internationals Alfie Devine, Jensen Weir and Joe Gelhardt, as well as the First Team training complex at Euxton and Sharpie's on Robin Park ensured that there would be enough to fund the administration period. In addition, over seventy permanent staff were made redundant as the programme of cost reductions really came into force.

With First Team manager Paul Cook leaving the Club after three years at the end of the 2019/20 season, his assistant Leam Richardson, primarily supported by Head of Academy Gregor Rioch, took charge of the First Team for the majority of the season, save for the Joint Administrators' brief appointment of John Sheridan as First Team manager for 15 matches.

The First Team squad, whose only aim that season was for Wigan Athletic to remain a League One club, consisted of still-contracted first team players as well as players acquired on short-term contracts and players from the Club's Academy, who were previously featuring for the Under 23 and Under 18 teams. With squad size and financial restrictions in place due to operating in administration, in addition to the regular testing for COVID-19 in line with government regulations, the challenges that presented the staff and players were unprecedented.

Outside of having to operate the Club, the Administrators and the Club's supporters were increasingly aware that if a buyer was not found before the start of the following season, Wigan Athletic would not be allowed to continue in EFL competitions, effectively meaning that this could be the Club's final season in professional football.

By the start of December 2020, the Club was bottom of League One and facing the prospect of relegation with just two wins from 14 league matches and strong rumours were beginning to circulate that the preferred buyer for the Club was not going to complete due diligence or pass The EFL's Directors' and Owners' Test. However, an upturn in form in December and January kept alive hope that Wigan Athletic would remain in League One: it was also rumoured that a potential new buyer was about to start due diligence.

Such media speculation relating to the potential acquisition of the Club seemed to inject positivity into staff, players and supporters, and by early March 2021, the Club had successfully moved out of the League One relegation zone.

PHOENIX 2021 LIMITED

STRATEGIC REPORT
FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

Nine months after entering administration, on 30 March 2021 Phoenix 2021 Limited, an English company registered at Companies House and owned by Mr Abdulrahman Al-Jasmi through his investment company Europa Point Investment Corporation (EPIC), purchased the assets of Wigan Athletic AFC Limited and Wigan Football Company Limited.

Following the introduction of Talal Al-Hammad as Chairman, Malachy Brannigan as Chief Executive Officer, Richard Bramwell as Finance Director and Dr Tom Markham and Dr Oliver Gottmann as Non-Executive Directors, the immediate priority was to retain League One status to ensure the Club could begin its revival from the best base possible. One of the first actions of Phoenix 2021 Limited was to appoint Leam Richardson as First Team Manager, an appointment that coincided with four consecutive victories which helped to ensure Wigan Athletic would be a League One Club for the forthcoming 2021/22 season.

On behalf of the owner Mr Al-Jasmi, the Chairman Talal Al-Hammad and my fellow Directors of Phoenix 2021 Limited, we would like to place on record our thanks to all those fans and stakeholders who worked tirelessly to keep our Club alive by ensuring Wigan Athletic completed the 2020/21 season, ultimately providing a happy-ending to a story that began with such devastating impact on Wigan as a town.

Special mention goes to the Wigan Athletic supporters and the efforts of Wigan Athletic's Official Supporters Club: you all played a critical role in keeping the Club alive through the initial Crowdfunder operation, and later highlighted the importance of the Football Club to the town of Wigan when raising over £700,000 to support the Club's longer-term future, should a buyer not be found for the Club. Those initial funds are now being used to fund projects in the local community via The Supporters Project, evidence alone of the true community spirit that embodies Wigan Athletic.

As important were the efforts of all staff, past and present, the Wigan Athletic Community Trust, Wigan Council and Lisa Nandy MP, among many others.

Phoenix 2021 Limited was incorporated on 27 January 2021 and trading commenced on 31 March 2021. Our football club, an iconic sporting institution of the town and the region, is reborn and re-energised and it's future looks bright: the ownership of the stadium as well as the management of Christopher Park and Stadium Way, the homes of the First Team and Academy respectively, are now all under the remit of Phoenix 2021 Limited.

The Board understands its responsibility as the Custodian of Wigan Athletic and remains committed to establishing the Club as a financially stable Championship football club at the very least.

The Directors consider that the financial results for the period 27 January 2021 to 30 June 2021 are satisfactory.

A financial loss of £0.6 million was recorded for the period.

Income
Turnover was £0.7 million. The 2020/21 season was concluded without fans in attendance, therefore no revenue was generated for ticket sales in the period and a further consequence was that 64% of turnover came from central distributions and grants in the form of solidarity receipts, EFL distributions and academy grants, which was unusually high. The remaining turnover was derived mainly from retail, stadium hire fees, match streaming sales and sponsorship income.

Administrative Expenses
Total administrative expenditure was £2.3 million. Salary costs for staff and players of £1.5m represented 66% of this figure, with the remaining expenses relating to the operation of the football club, as well as the facilities at the DW Stadium, Christopher Park and Stadium Way Academy sites. The Directors are committed to maintaining costs at stable levels to ensure that losses remain within the parameters of the EFL financial regulations.

Player Trading and Investment
During the period the Company generated a profit from the sale of players of £0.9 million, from the sales of Kyle Joseph and Joe Winstanley and the contingent income derived from the sale of Dan Burn in August 2018. Profits during the period from player trading has assisted the Company in absorbing the significant loss of revenue due to COVID. As demonstrated during the rebuilding of the squad for the current 2021/22 season, while player trading at times may be unpopular, it is an integral part of the business model that underpins the stability and growth of the Club.

For reference, Phoenix 2021 Limited retains all the contingent income rights for players sold prior to the period of owning the Club.

Loss for the Period
The change of ownership in March 2021 not only allowed the Club to complete the 2020/21 season and fund the 0.6 million losses sustained in the period, it also stabilised it's future by intending to fund future commitments as equity rather than debt, which is a departure from previous ownership groups.

Future Outlook
The Board of Directors aspire to utilise the resources at its disposal at any point in time to achieve the highest possible league position and success in cup competitions for the first team whilst at the same time employing prudent financial management to ensure a stable future. The Academy has been a key element of our identity as a football club and to our on-field performance and therefore investment into the Academy operations is a crucial element of our strategy.

As part of the long-term player-trading strategy, the transition of Academy players to the First Team will help reduce expenditure on player transfers and create organic growth within our player-trading model, with the intention of increasing the strength and depth of the squad over time. The Directors continue to invest in player recruitment resources, to ensure that the Club can attract and retain the best football talent available within an agreed budget.

It is a testament to the whole of the football management staff that the team will be competing in EFL League One once again in the 2021/22 season and the Board of Directors will ensure that Wigan Athletic will operate in a stable financial manner which matches the resources that the ownership group wishes to invest.

KEY PERFORMANCE INDICATORS
Key performance indicators are used by the Directors to measure and evaluate the Company's performance and to monitor its various activities. The principal key performance indicators employed by the Company are:-

	2021 £m
Turnover	0.7
Staff costs	(1.5)
Operating loss	(1.5)
Profit on sales of players' registrations	0.9
Net loss before taxation	(0.6)
Shareholders' funds	3.1

	2021 Numbers
Average league attendance	0
Final league position	20th

Risks and uncertainties
The Board is responsible for continually assessing the risks applicable to the business, with the key risk always being the uncertainty of achieving football success on the field and the consequential significant impact on revenue from central distributions, sponsorship and ticketing.

The Company seeks to reduce this de-risk this uncertainty by:

- Utilising modern player recruitment techniques to attract the best players within our resources;
- Continued investment into the Club's Academy to assist the progression of young talented players to the First Team; and
- Utilising up-to-date analysis and performance measurement tools to assist coaching staff to achieve the best results possible.

Other risks, including financial constraints, commercial and health and safety issues are managed via regular internal management meetings, the use of professional advisors and information and advice received from the Football Association and The EFL. The Company works to ensure that every match held at the DW Stadium fully meets all the health and safety criteria for the operation of football grounds.

Financial risk management
The Company is exposed to financial risk through its ability to successfully manage its financial assets and liabilities with the key financial indicator being cash flow: the ability to control a positive cash balance and generate proceeds greater than obligations arising from liabilities as they fall due. The other components of the Company's financial risk are interest rate risk and currency risk.

The Company addresses cash flow risk by carefully managing its working capital inflows and outflows and ensuring, via regular updating of its forecasts, that the necessary facilities are available to finance the working capital position from funding from its ultimate parent company, EPIC.

The Company does not consider that the size of its interest rate exposure warrants the hedging of potential interest rate charges, particularly in view of the current relative lack of volatility in interest rates. The Company is exposed to occasional foreign currency exchange risks through its player transactions but does not hedge against this risk because of the infrequency/size of the transactions.

On behalf of the board:

.....
Mr M Brannigan - Director

Date: 7 MARCH 2022

REPORT OF THE DIRECTORS
FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

The directors present their report with the financial statements of the company for the period 27 January 2021 to 30 June 2021.

Incorporation
The company was incorporated on 27 January 2021 and commenced trading on 31 March 2021.

Principal activity
The principal activity of the company in the period under review was that of a professional football club.

Directors
The directors who have held office during the period from 27 January 2021 to the date of this report are as follows:

Mr T Mubarak Al Hammad - appointed 11 February 2021
Mr M Brannigan - appointed 11 February 2021
Mr R E Bramwell - appointed 11 February 2021
Mr O Gottmann - appointed 27 January 2021
Mr T Markham - appointed 27 January 2021

Going concern
The company is dependent on financial support from its ultimate parent company Europa Point Investment Corporation Limited. Their written support covers a period of 24 months from the date of these accounts. This is more than the 12 months required for the going concern assessment. The directors acknowledge that this support is not legally binding.

On this basis, together with recent trading results and forecasts, the directors consider it appropriate to prepare the financial statements on a going concern basis (see note 2 of the financial statements).

Company's policy on employees
The company is committed to ensuring that it complies with all relevant legislation, in connection with unlawful or unfair discrimination of any kind in its business.

It is the company's policy to provide opportunities for disabled persons to have meaningful employment in the business and to make its facilities available to disabled supporters as far as possible, within the constraints of a concern for the health and safety of all its staff and customers.

Regular meetings are held involving directors and management to convey information to employees regarding company performance and other factors affecting the business.

Statement of directors' responsibilities
The directors are responsible for preparing the Strategic Report, the Report of the Directors and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

PHOENIX 2021 LIMITED

REPORT OF THE DIRECTORS
FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

Statement as to disclosure of information to auditors
So far as the directors are aware, there is no relevant audit information (as defined by Section 418 of the Companies Act 2006) of which the company's auditors are unaware, and each director has taken all the steps that he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the company's auditors are aware of that information.

This report has been prepared in accordance with the provisions of Part 15 of the Companies Act 2006 relating to small companies.

On behalf of the board:

.....
Mr M Brannigan - Director

Date: 7 MARCH 2022

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF PHOENIX 2021 LIMITED

Opinion

We have audited the financial statements of Phoenix 2021 Limited (the 'company') for the period ended 30 June 2021 which comprise the Statement of Comprehensive Income, Balance Sheet, Statement of Changes in Equity, Cash Flow Statement and Notes to the Cash Flow Statement, Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2021 and of its loss for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty relating to going concern

We draw attention to notes 2 and 17 of the financial statements, which indicates that the ability of the company to continue as a going concern is dependent on the continued financial support of the ultimate parent. At the time of signing these financial statements, no support is guaranteed. These conditions indicate that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

Other information

The directors are responsible for the other information. The other information comprises the information in the Strategic Report and the Report of the Directors, but does not include the financial statements and our Report of the Auditors thereon.

Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Report of the Directors for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Report of the Directors have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception
In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or the Report of the Directors.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or
- the directors were not entitled to take advantage of the small companies' exemption from the requirement to prepare a Strategic Report or in preparing the Report of the Directors.

Responsibilities of directors
As explained more fully in the Statement of Directors' Responsibilities set out on page six, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF PHOENIX 2021 LIMITED

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue a Report of the Auditors that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

- Consideration was given at all times to the entity's susceptibility to material misstatement including consideration of how fraud could occur. This involved considerations of the nature of the entity's activities and transactions with the potential identification of fraud at all times

- Identification of key laws and regulations considered to central to the entity, including a review of any policies and procedures in place to ensure compliance. The key laws and regulations impacting the company are deemed to be compliance with Companies House & HMRC regulations as well as general health & safety legislation. Additionally, the company is subject to the EFL regulations, specifically Appendix 5 in relation to FFP regulations

- Ensured that the engagement team had the necessary competence and capabilities to identify any examples of non-compliance at all stages

- Audit work was completed in all relevant areas that was deemed to be appropriate for the client and the associated risks in respect of potential misstatements, including fraud. Our audit work was designed to assess these risks in all areas and included enquiry of management, review of financial statement disclosures and tracing to relevant documentation as well as the consideration of the risk of potential management override

Due to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, as with any audit, there remained a higher risk of non-detection of irregularities, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. We are not responsible for preventing fraud or non-compliance with laws and regulations and cannot be expected to detect all fraud and non-compliance with laws and regulations.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at www.frc.org.uk/auditorsresponsibilities. This description forms part of our Report of the Auditors.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in a Report of the Auditors and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Paul Farrington Bsc FCA (Senior Statutory Auditor)
for and on behalf of NR Barton
1st Floor Waterside House
Waterside Drive
Wigan
Lancashire
WN3 5AZ

Date: 7 March 2022

PHOENIX 2021 LIMITED

STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

	Notes	Operations excluding player trading	Player trading	Period ended 30th June 2021
		£	£	£
TURNOVER	3	705,161	-	705,161
Cost of sales		(6,222)	-	(6,222)
GROSS PROFIT		711,383	-	711,383
Administrative expenses		2,176,199	91,532	2,267,731
Other operating income		17,874	-	17,874
OPERATING LOSS	5	(1,446,942)	(91,532)	(1,538,474)
Profit on sale of intangible fixed assets	6	-	916,279	916,279
Interest receivable and similar income		-	-	-
(LOSS)/ PROFIT BEFORE TAXATION		(1,446,942)	824,747	(622,195)
Tax on loss	7			-
LOSS FOR THE PERIOD				(622,195)
OTHER COMPREHENSIVE INCOME				-
TOTAL COMPREHENSIVE LOSS FOR THE PERIOD				(622,195)

The notes form part of these financial statements

PHOENIX 2021 LIMITED (REGISTERED NUMBER: 13161421)

BALANCE SHEET
30 JUNE 2021

	Notes	£	£
FIXED ASSETS			
Intangible assets	8		653,556
Tangible assets	9		1,765,409
			2,418,965
CURRENT ASSETS			
Stocks	10	71,815	
Debtors	11	1,415,508	
Cash at bank and in hand		1,035,681	
		2,523,004	
CREDITORS			
Amounts falling due within one year	12	1,648,267	
NET CURRENT ASSETS			874,737
TOTAL ASSETS LESS CURRENT LIABILITIES			3,293,702
CREDITORS			
Amounts falling due after more than one year	13		186,754
NET ASSETS			3,106,948
CAPITAL AND RESERVES			
Called up share capital	14		3,729,143
Retained earnings	15		(622,195)
SHAREHOLDERS' FUNDS			3,106,948

The financial statements were approved by the Board of Directors and authorised for issue on 7 MARCH 2022 and were signed on its behalf by:

Mr M Brannigan - Director

The notes form part of these financial statements

PHOENIX 2021 LIMITED

STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

	Called up share capital £	Retained earnings £	Total equity £
Changes in equity			
Deficit for the period	-	(622,195)	(622,195)
Total comprehensive loss	-	(622,195)	(622,195)
Issue of share capital	3,729,143	-	3,729,143
Balance at 30 June 2021	3,729,143	(622,195)	3,106,948

The notes form part of these financial statements

PHOENIX 2021 LIMITED

CASH FLOW STATEMENT
FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

	Notes	£
Cash flows from operating activities		
Cash generated from operations	1	(158,484)
Net cash from operating activities		(158,484)
Cash flows from investing activities		
Purchase of intangible fixed assets		(755,859)
Purchase of tangible fixed assets		(1,779,119)
Net cash from investing activities		(2,534,978)
Cash flows from financing activities		
Share issue		3,729,143
Net cash from financing activities		3,729,143
Increase in cash and cash equivalents		1,035,681
Cash and cash equivalents at beginning of period	2	-
Cash and cash equivalents at end of period	2	1,035,681

The notes form part of these financial statements

NOTES TO THE CASH FLOW STATEMENT
FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

1. RECONCILIATION OF LOSS BEFORE TAXATION TO CASH GENERATED FROM OPERATIONS

	£
Loss before taxation	(622,195)
Depreciation charges	116,013
	(506,182)
Increase in stocks	(71,815)
Increase in trade and other debtors	(1,415,508)
Increase in trade and other creditors	1,835,021
Cash generated from operations	(158,484)

2. CASH AND CASH EQUIVALENTS

The amounts disclosed on the Cash Flow Statement in respect of cash and cash equivalents are in respect of these Balance Sheet amounts:

Period ended 30 June 2021

	30.6.21	27.1.21
	£	£
Cash and cash equivalents	1,035,681	-

3. ANALYSIS OF CHANGES IN NET FUNDS

	At 27.1.21	Cash flow	At 30.6.21
	£	£	£
Net cash			
Cash at bank and in hand	-	1,035,681	1,035,681
	-	1,035,681	1,035,681
Total	-	1,035,681	1,035,681

The notes form part of these financial statements

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD 27 JANUARY 2021 TO 30 JUNE 2021

1. STATUTORY INFORMATION

Phoenix 2021 Limited is a private company, limited by shares, registered in England and Wales. The company's registered number and registered office address can be found on the Company Information page.

2. ACCOUNTING POLICIES

Basis of preparing the financial statements
These financial statements have been prepared in accordance with the Financial reporting Standard 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" and the Companies Act 2006. The financial statements have been prepared under the historical cost convention.

These financial statements have been prepared on the basis that the company continues to be a going concern.

The company recorded a net loss of £622,195 after profit on player trading of £916,279 during the period ended 30 June 2021 and had net assets of £3,106,948 at that date.

The following actions have been taken by the directors to manage the working capital requirements of the company:

- Profit and Loss and cashflow forecasts have been completed for the period ended 30 June 2023, which indicate that subject to the cost level of player purchases and sales, any pre taxation losses will be capable of being financed by funding provided by the ultimate parent company. A letter of support has been received from the parent company stating confirmation of support for a period of at least 24 months from the date of these accounts.

On that basis, the directors believe the company has adequate resources to continue in operational existence for the foreseeable future. The directors consider it to be reasonable to rely on funding from the ultimate parent company to provide the working capital requirements of the company and that it is therefore appropriate to prepare the financial statements on a going concern basis.

The financial statements include the results of the company's principal activity described in the report of the directors, which is continuing.

Significant judgements and estimates
Preparation of the financial statements requires management to make significant judgements and estimates. The items in the financial statements where these judgements and estimates have been made include:

(a) Impairment of assets
The carrying value of the company's assets are reviewed annually to determine any indication of impairment. If there is any indication of impairment, the recoverable amount of any affected asset is estimated and compared with its carrying amount.

(b) Useful economic lives
The useful economic lives of assets are assessed on an annual basis based on the latest available information. Management believe that the useful economic lives being used currently are still appropriate.

continued...

2. ACCOUNTING POLICIES - continued

Turnover
Turnover represents income receivable from the company's principal activity of operating a professional football club and is net of value added tax. Match day revenue is recognised over the period of the football season as matches are played. Sponsorship and other similar commercial incomes are recognised over the period of the respective contract. The fixed element of broadcasting revenues and other central distributions are recognised over the duration of the football season whilst facility fees for live coverage or highlights are recognised as matches are played.

Player registration fees, signing on fees and agent fees
Transfer fees for player registrations are capitalised as intangible fixed assets and are amortised on a straight line basis over the period of the respective player contracts.

The net book value of player registrations are assessed on an annual basis and any impairment losses arising are recognised in the financial statements in the period in which they arose. Any estimated surpluses are not accounted for. The profit or loss arising on the sale of a player registration is calculated after charging any unamortised registration fees and any further fees which become payable as a result of the sale.

Player signing on fees are recognised in the financial statements as salaries and wages in the period during which the payment has been made.

Agent fees are expensed to the financial statements in the accounting period in which they are incurred.

Goodwill
Goodwill is recognised at initial cost and is being amortised over the estimate useful life which is deemed to be 10 years.

Tangible fixed assets
Tangible fixed assets are stated at cost less depreciation and any impairment losses.

Depreciation is provided at the following annual rates in order to write off the cost less estimated residual value of each asset over its useful economic life:

Long Leasehold Property	-	Over life of lease
Fixtures and Fittings	-	10% on Cost
Motor Vehicles	-	20% on Cost

Impairment of tangible fixed assets
At each reporting date fixed assets are reviewed to determine whether there is any indication that those assets have suffered an impairment loss. If there is an indication of a possible impairment, the recoverable amount of any asset is estimated and compared with its carrying amount. If the recoverable amount is lower, the carrying amount is reduced to its recoverable amount and an impairment loss is recognised immediately in the profit and loss account.

If an impairment loss is subsequently reversed, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but not to exceed the amount that would have been determined had no impairment loss been recognised for the asset in prior periods. A reversal of an impairment loss is recognised immediately in the profit and loss account.

Grants
Revenue grants are credited to the profit and loss in the period in which they are due. Capital grants are treated as deferred income and written off over the life of the assets to which they relate.

Stocks
Stocks are valued at the lower of cost and net realisable value, after making due allowance for obsolete and slow moving items.

continued...

2. ACCOUNTING POLICIES - continued

Financial instruments
Short term financial assets, including trade debtors and debtors arising from player transfers, are measured at transaction price less any impairment.

Short term financial liabilities, including trade creditors, creditors arising from player transfers and bank loans, are measured at transaction price.

Financial assets and liabilities payable after one year are initially measured at fair value and are subsequently measured at amortised cost using the interest rate method.

Taxation
Taxation for the period comprises current and deferred tax. Tax is recognised in the Statement of Comprehensive Income, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

Current or deferred taxation assets and liabilities are not discounted.

Current tax is recognised at the amount of tax payable using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

Deferred tax
Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date.

Timing differences arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in financial statements. Deferred tax is measured using tax rates and laws that have been enacted or substantively enacted by the period end and that are expected to apply to the reversal of the timing difference.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Foreign currencies
Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

Hire purchase and leasing commitments
Rentals paid under operating leases are charged to profit or loss on a straight line basis over the period of the lease.

Pension costs and other post-retirement benefits
The company operates a defined contribution pension scheme. Contributions payable to the company's pension scheme are charged to profit or loss in the period to which they relate.

Repairs and ground maintenance
All expenditure is written off as incurred.

continued...

2. ACCOUNTING POLICIES - continued

Going concern
The company's business activities are set out in the directors report. The directors acknowledge that, in common with many football clubs in the EFL, the company is likely to incur future losses and net cash outflows.

In considering the appropriateness of preparing these accounts on a going concern basis, the directors have considered the future working capital requirements of the company.
In doing so the directors have determined that additional funding will be required to enable the company to continue its operational existence.

Europa Point Investment Corporation Limited, the ultimate parent company has confirmed that sufficient financial support will be made available to the company to meet its obligations as they fall due. Their written support covers a period of 24 months from the date of these accounts. This is more than the 12 months required for the going concern assessment. The directors acknowledge that this support is not legally binding.

3. TURNOVER

The turnover and loss before taxation are attributable to the one principal activity of the company.

An analysis of turnover by class of business is given below:

	£
Premier League distributions	176,250
Stadium Hire Charges	90,000
Academy Grants	203,418
EFL central distributions	65,690
Sponsorship, commercial	11,690
Stadium rental	9,714
Retail income	65,056
Other income	83,343
	705,161

4. EMPLOYEES AND DIRECTORS

	£
Wages and salaries	1,381,916
Social security costs	125,291
	1,507,207

The average number of employees during the period was as follows:

First team players	19
Academy players	26
Coaching and medical staff	7
Academy coaching and medical staff	35
Administration and support staff	38
Matchday staff	25
	150

	£
Directors' remuneration	68,693

continued...

5. OPERATING LOSS

The operating loss is stated after charging:

	£
Other operating leases	58,764
Depreciation - owned assets	13,710
Goodwill amortisation	10,771
Player and management registration fees amortisation	91,532
Auditors' remuneration	7,000

6. EXCEPTIONAL ITEMS

	£
Profit/loss on sale of intangible fixed assets	916,279

7. TAXATION

No liability to UK corporation tax arose for the period ended 30 June 2021.

A deferred tax asset has not been recognised in respect of timing differences relating to tax trading losses as there is insufficient evidence that the asset will be recovered. The amount of the asset not recognised is £98,298 calculated at the tax rates expected to apply at a point in the future, if timing differences do then reverse. The asset could be recovered if sufficient taxable trading profits arose in the future.

8. INTANGIBLE FIXED ASSETS

	Goodwill £	Player and management registration fees £	Totals £
COST			
Additions	430,859	325,000	755,859
At 30 June 2021	430,859	325,000	755,859
AMORTISATION			
Amortisation for period	10,771	91,532	102,303
At 30 June 2021	10,771	91,532	102,303
NET BOOK VALUE			
At 30 June 2021	420,088	233,468	653,556

continued...

9. TANGIBLE FIXED ASSETS

	Long leasehold £	Fixtures and fittings £	Motor vehicles £	Totals £
COST				
Additions	1,352,119	407,000	20,000	1,779,119
At 30 June 2021	1,352,119	407,000	20,000	1,779,119
DEPRECIATION				
Charge for period	2,535	10,175	1,000	13,710
At 30 June 2021	2,535	10,175	1,000	13,710
NET BOOK VALUE				
At 30 June 2021	1,349,584	396,825	19,000	1,765,409

10. STOCKS

	£
Souvenirs and goods for resale	71,815

11. DEBTORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	£
Trade debtors	73,421
Debtors arising from player transfers	1,119,000
Other debtors	985
Prepayments and accrued income	222,102
	1,415,508

12. CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	£
Trade creditors	183,911
Creditors arising from player transfers	55,000
VAT	108,450
Other creditors	466,116
Accruals and deferred income	834,790
	1,648,267

13. CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR

	£
Other creditors	186,754

continued...

14. CALLED UP SHARE CAPITAL

Allotted, issued and fully paid:

Number:	Class:	Nominal value:	£
3,729,143	Ordinary	1	3,729,143

Share capital of £3,729,143 was issued during the period and all such issues were at par value.

15. RESERVES

	Retained earnings £
Deficit for the period	(622,195)
At 30 June 2021	(622,195)

16. CONTROLLING PARTY

The company's ultimate parent company is Europa Point Investment Corporation Limited, a company registered in Gibraltar.

The directors consider the ultimate controlling party to be Abdulrahman Al Jasmi who controls a majority shareholding in Europa Point Investment Corporation Limited.

17. GOING CONCERN

The directors acknowledge that, in common with many football clubs in the EFL, the company is likely to incur future losses and net cash outflows.

In considering the appropriateness of preparing these accounts on a going concern basis, the directors have considered the future working capital requirements of the company.
In doing so the directors have determined that additional funding will be required to enable the company to continue its operational existence.

Europa Point Investment Corporation Limited, the ultimate parent company has confirmed that sufficient financial support will be made available to the company to meet its obligations as they fall due. Their written support covers a period of 24 months from the date of these accounts. This is more than the 12 months required for the going concern assessment. The directors acknowledge that this support is not legally binding.